

Auto Care Association

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Before the
United States Copyright Office, Library of Congress
Washington, D.C.

In the Matter of	)	
Software-Enabled Consumer Products	)	Docket No. 2015-16
Study: Notice of Inquiry and	)	
Request for Public Comment	)	

Comments of Auto Care Association

Auto Care Association (“Auto Care”) is a national trade organization of 2,000 members representing more than 150,000 independent businesses that manufacture, distribute, and sell motor vehicle parts, accessories, tools, equipment, materials, and supplies, and perform vehicle service and repair. The subject of this inquiry – assertions of copyright over software embedded in consumer products that controls the operation of those products – affects daily our members and the consumers they serve by making motor vehicle repair more expensive and legally risky. Physical parts can be customized, repaired, and replaced under clear patent law principles; there is no reason why a manufacturer’s choice to replace physical parts with copyrighted software should change that result.

Current copyright law, properly interpreted, achieves this result. Yet, the *need* for interpretation of copyright defenses and doctrines, and the absence of clear statutory direction, creates unnecessary risk for manufacturers, servicers, and consumers that their otherwise-lawful actions will lead to litigation. The expense and disruption of litigation, and the risk of crippling statutory damages for copyright infringement, chills innovation and reduces competition for service and parts. As a result, original equipment manufacturers and dealerships can exact supracompetitive prices for parts and service; whereas aftermarket competitors, fearing infringement allegations, must incur added risks, costs, and delays before bringing new and competing products and services to market.

Auto Care therefore welcomes this study to clarify a set of consistent legal principles for embedded software that controls the function of physical equipment:

First, copyright law should *expressly* permit lawful repair of products whose physical operation relies on software, regardless of whether the software must be altered or

reproduced for such repairs to occur. Copyright should not diminish the right to repair granted under patent law.

Second, copyright law should acknowledge and accommodate *fair uses and noninfringing uses* of such embedded software, including reproduction and decompilation for lawful purposes such as facilitating interoperability, accessing or altering noncopyrighted elements in the software, developing replacement software, and customizing product performance.

Third, federal copyright law should treat parts that incorporate such embedded software as a unitary object for purposes of the first sale and maintenance provisions of Sections 109 and 117 respectively. *Where a product is sold to the consumer, the copy of embedded software that operates the product's parts also should be deemed to have been sold.*

Finally, the transfer of a single copy of software from one physical part to another should be treated as noninfringement under the first sale doctrine—just as patent law permits the re-use of parts (and the re-use of parts of parts in other parts) as lawful repair.

The Automotive Parts and Repair Industry, and the Ubiquity of Embedded Software

The independent aftermarket industry employs more than 4,300,000 people in the United States. Nearly \$341 billion dollars was spent on motor vehicle care in the United States in 2015, or more than 1.9 percent of the U.S. gross domestic product. Following expiration of a new car warranty, over 70 percent of car owners who patronize auto repair shops rely on independent repair shops over new car dealers. Approximately 20 percent of American consumers buy automotive parts and products to maintain, repair, and customize their own vehicles.

The right to repair motor vehicles has attained greater importance over the last decade. A steady trend shows American consumers and businesses are keeping their cars and trucks in service longer. On average, new car buyers in 2015 keep their vehicles for 6.5 years, and used car buyers keep those cars on the road for 5.3 more years – a total of more than 11-1/2 years, and more than 4 years longer than the average in 2006.¹ As cars advance in age, so does the need for consumers and businesses to repair and replacement vehicle parts. Studies confirm that

¹ News Release, IHS, “Average Age of Light Vehicles in the U.S. Rises Slightly in 2015 to 11.5 years,” July 29, 2015, <http://press.ihs.com/press-release/automotive/average-age-light-vehicles-us-rises-slightly-2015-115-years-ihs-reports>; Phil LeBeau, “Americans holding onto their cars longer than ever,” CNBC (July 29, 2015) <http://www.cnbc.com/2015/07/28/americans-holding-onto-their-cars-longer-than-ever.html>

consumers prefer to obtain parts and service from independent businesses rather than dealerships—benefitting from reduced costs, greater convenience, and higher consumer satisfaction from local repair shops and neighborhood mechanics.²

Vehicle repair by Auto Care members also contributes to a cleaner environment. Repair and customization improves vehicle performance and efficiency, increases gas mileage and reduces energy consumption, and lowers emissions. Repair of motor vehicles using rebuilt automotive parts typically re-uses 88 percent of the raw material from the original parts, and rebuilding engines saves 50 percent of the energy required to produce a new engine.

Consumers have the right to repair their motor vehicles. Cleaning, repairing, and refurbishing parts, or replacing worn or broken parts, historically has been considered permissible repair, not infringing reconstruction, under patent law. When repairing motor vehicles, a servicer may replace a broken part, or repair or rebuild the consumer's existing part. Where replacement parts are needed, the servicer (and consumer) often may have a choice of new original equipment manufacturer (OEM) parts, new parts from an independent producer, or rebuilt parts from either the OEM or an independent. In many cases, a used part removed from a vehicle may be refurbished or rebuilt and used to repair other vehicles. For example, replacing one vehicle's engine or transmission with parts taken from other vehicles has always been accepted as lawful as well as economically and ecologically beneficial.

As parts increasingly incorporate computer software, functions that used to be performed by hardware components now are controlled by software embedded in those parts or centralized in an electronic control unit ("ECU"). Today's engines, transmissions, oxygen sensors, ignitions, brakes, emissions systems, electric windows, air blowers, air bags, and even windshield wipers are just a few of the systems in which manufacturers have replaced purely electro-mechanical parts with microprocessors and software controls. The function of these parts is the same regardless of whether implemented in hardware or software. Logically, the law applicable to software-controlled parts should be the same as for hardware—repairing, refurbishing, modifying, adjusting, or replacing software that functions as a part in a motor vehicle should be treated no differently than a brake caliper or a universal joint.

Specifically, Auto Care submits that the Copyright Office should affirm that, under copyright law as under patent law:

- Where a vehicle is sold to a consumer, the consumer owns the vehicle and its parts, including the copy of any embedded software.

² "Independent vs. dealer shops for car repair," Consumer Reports, Jan. 22, 2015, <http://www.consumerreports.org/cro/magazine/2015/03/best-places-to-get-your-car-repaired/index.htm>

- Where the parts require adjustment to function at maximum efficacy and efficiency, the servicer or consumer has the right to change the software parameters or code, or to change out the software itself.
- Where servicers or consumers need to understand the workings of a part for purposes of repair, customization, or interoperability, they have the right to copy or decompile the software in that part.
- Where a part is disassembled, whether for purposes of repairing that part or rebuilding another part, the servicer or consumer has the right to transfer the copy of the software in that part to another medium and to re-install that software either in that same part or in another working part.

Responses to Copyright Office Questions

Auto Care comments below on questions posed by the Copyright Office Notice, according to the topics identified in the letter from Senators Grassley and Leahy. The focus of these responses reflects primarily the role of repair services as users of copyrighted software.³ However, Auto Care members include businesses that develop their own software for motor vehicles, for example as a replacement for or as enhancements to OEM software.

1. The provisions of the copyright law that are implicated by the ubiquity of copyrighted software in everyday products;

From the user perspective, the most relevant sections are:

Section 102—which delineates the extent to which elements of software may not be protectable by copyright, by excluding from protection facts, ideas, procedures, processes, systems, methods of operation, concepts, principles, or discoveries. As pertinent to software, these would include numerical parameters governing the performance of automobile parts; code expression that is constrained by externalities, such as the hardware and software language platforms that run the software; and security codes used to lock out competitors. *See, e.g., Lexmark Int’l Inc. v. Static Control Components, Inc.*, 387 F.3d 522, 534-536 (6th Cir. 2004); *Gates Rubber Co. v. Bando Chem. Indus., Ltd.*, 9 F.3d 823, 838 (10th Cir. 1993); *Computer Assocs. Int’l, Inc. v. Altai, Inc.*, 982 F.2d 693 (2d Cir. 1992).

³ Auto Care and its members remain concerned at the misuse of Section 1201 by automakers that apply technological measures as a means to prohibit competition for the sale of motor vehicle parts. Auto Care will address those issues separately in response to the Copyright Office’s notice initiating its study of Section 1201.

Section 107—which ensures that certain uses of copyrighted software remain noninfringing fair uses. These may include, for example, reproduction and decompilation to access the underlying code for purposes of analyzing its operation, accessing and altering noncopyrightable elements, and developing interoperable products. *See Sony Computer Entm't, Inc. v. Connectix Corp.*, 203 F.3d 596, 603 (9th Cir. 2000); *Sega Enters., Ltd. v. Accolade, Inc.*, 977 F.2d 1510 (9th Cir. 1992).

Section 109—which extends the doctrine of exhaustion or “first sale” to the type of computer programs ordinarily embedded in motor vehicles.

Section 117—which permits the copying of software as an essential step in using a machine, and the adaptation of software for purposes of maintenance or repair and archiving.

Notwithstanding the legal and logical underpinnings of these principles, independent vehicle parts manufacturers and servicers have been sued and threatened with suit for copyright infringement merely for engaging in repairs of software-controlled parts that would have been permissible repair under patent law. Copyright should not be misused as leverage to control or restrain competition in markets for non-copyrightable parts and services.⁴ The application of copyright statutes, doctrines, and limitations on rights should be clarified to specifically immunize activities inherent to otherwise lawful motor vehicle maintenance and repair where the embedded computer program controls the operation of a motor vehicle or its constituent parts.

2. Whether, and to what extent, the design, distribution, and legitimate uses of products are being enabled and/or frustrated by the application of existing copyright law to software in everyday products;

Legal certainty provides the incentives needed as the springboard for investment and innovation. Uncertainty over copyright law and its consequent legal risks unfairly advantages incumbents over competitors. In the case of software-controlled vehicle parts, gray areas of copyright law have been exploited by copyright owners to stymie competition in the market for non-copyrightable parts and service.

Although consumers prefer to patronize local independent car services, and to acquire less expensive replacement parts for their vehicles, independents face steep challenges trying to compete against original equipment manufacturers and dealerships. Using embedded software code as the equivalent of a physical part gives additional inherent advantages to OEMs and dealers. Cars are more difficult to service without access to the software (or to a diagnostic tool

⁴ *See Omega, S.A. v. Costco Wholesale Corp.*, CV 04-05443 TJH, 2011 WL 8492716 (E.D. Cal. Nov. 9, 2011) (application of copyrighted image to wristwatch solely to prevent importation was misuse), *aff'd*, *Omega, SA v. Costco Wholesale Corp.*, 776 F.3d 692, 696-706 (9th Cir. 2015) (Wardlaw, J. concurring).

provided by the OEM to dealers). Consequently, the need to acquire or to develop interoperable tools extends dealers' time-to-market advantage and increases costs for independents and consumers.

Saddling independents with the threat of copyright litigation or liability further exacerbates the risks to independents, and complicates the calculus of whether or when an independent should invest in competitive products and services. If copyright infringement liability is found, actual or statutory damages could inflict fatal damage to the present and future prospects of a company's product, or of the company itself.

Independent competitors have long and deep experience with patent law, and the lines between permissible repair and infringing reconstruction are well drawn in precedent. The same cannot be said for copyright as applied to software embedded in car parts. Consequently, even where companies consult copyright counsel and read pertinent case law, they still may be left without a sufficiently definitive answer. In the interim, our members read in the press OEMs' extravagant claims that the first sale doctrine cannot apply because consumers merely "license" and do not own the copy of the software embedded in vehicle parts. And, they are aware that other independent companies that have dared to compete have been sued for attempting to repair cars without a license from the manufacturer, or for attempting to sell replacement parts. As a result, Auto Care is concerned that their efforts to compete in these consumer markets will be thwarted by such overbroad assertions of copyright.

Finally, our members report that new software-based schemes are being deployed by original equipment manufacturers, in a cat and mouse game specifically intended to lock-out competition. For example, manufacturers tie the copy of the software installed in a car's parts to the Vehicle Identification Number (VIN). As a result, a part removed from one vehicle for refurbishment cannot be used in another car of the same model. Similarly, some car manufacturers embed software in car parts whose primary or sole purpose is to authenticate with the car's ECU module so as to "verify" that any replacement part has been installed by an "authorized" servicer and is a "genuine" part made by the manufacturer. Because these tactics are deployed in copyrighted software, our members report serious concerns that any effort to alter the software will expose them to suits for infringement (as well as the potential threat of suits under Section 1201).

3. Whether, and to what extent, innovative services are being enabled and/or frustrated by the application of existing copyright law to software in everyday products;

The concerns expressed in response to Question 2 apply equally to vehicle maintenance, customization, and repair services. These services need to access, alter, or replace the software in motor vehicle parts in order to provide consumer services for vehicle hardware. Any uncertainty over the right under copyright law of services to engage in these activities—which constitute

lawful repair under patent law—should be eliminated and clarified by the Copyright Office study.

4. Whether, and to what extent, legitimate interests or business models for copyright owners and users could be undermined or improved by changes to the copyright law in this area;

One suggestion to rectify the chilling effects of excessive assertions of copyright would be to clarify the application of Sections 109 and 117 in circumstances where embedded software controls the operations of products. As the Copyright Office learned during the most recent Section 1201 triennial review, motor vehicle companies take the position that a vehicle owner does not own the copy of any software in the vehicle parts.⁵ Section 109(b)(2)(B)(i) goes partway by providing an exception to an exception to the first sale doctrine, thus allowing the assertion of the first sale exemption to the owner of a copy of embedded software. Similarly, Section 117 privileges the use software in the course of maintenance and repair, but only for the owner of the copy.

To be sure, the activities of independent services and parts manufacturers are exempt from liability under the principles of fair use. However, the determination of privileges under Sections 109 and 117 are black-and-white inquiries compared to the gray of fair use. The market therefore would benefit from clarifying that the owner of the motor vehicle is also the owner of the copy of any embodied software that controls the operation of the motor vehicle—thus specifically invoking the users’ rights and privileges under Sections 109 and 117 and immunizing independent businesses from manufacturer overreach.

5. Key issues in how the copyright law intersects with other areas of law in establishing how products that rely on software to function can be lawfully used.

⁵ See, e.g., Comments of John Deere in Proposed Exemption Class 21, at 5: “A vehicle owner does not acquire copyrights for software in the vehicle, and cannot properly be considered an ‘owner’ of the vehicle software”; Comments of General Motors in Proposed Exemption Class 21, at 10-12. While these comments ignore the distinction between the owner of the software and the owner of a *copy* of the software, the clear intention behind the comments is to deny the applicability of the first sale doctrine to any purchaser of a motor vehicle. The press immediately understood the impact of these arguments, and took these companies to task. See “Brave New Tractor: John Deere And General Motors Pretty Sure They Own All Your Stuff,” <http://wonkette.com/583917/brave-new-tractor-john-deere-and-general-motors-pretty-sure-you-dont-own-your-stuff#fweCZLCTDyb7ICxz.99> (Apr. 27, 2015); Mike Masnick, “GM Says That While You May Own Your Car, It Owns The Software In It, Thanks To Copyright,” Techdirt (Apr. 23, 2015), <https://www.techdirt.com/articles/20150421/23581430744/gm-says-that-while-you-may-own-your-car-it-owns-software-it-thanks-to-copyright.shtml>

The primary concern of independent motor vehicle parts manufacturers and servicers is the uncertainty of copyright law versus the dependability of legal analysis under patent law. The distinction between repair and reconstruction under patent law is well defined: Repair or replacement of worn-out, damaged, or destroyed parts merely extends the life of a product that the purchaser has the right to use; making the article anew constitutes infringement.⁶ The outcome of the copyright law analysis where physical parts are controlled by software should be equally discernible to these businesses. As Justice Black observed in his concurrence in *Aro*, small repair and service businesses such as those represented by Auto Care need bright line rules to avoid the “disastrous or even lethal consequences” of infringement suits:

[B]usinessmen are certainly entitled to know when they are committing an infringement. ... But to what avail these congressional precautions if this Court, by its opinions, would subject small businessmen to the devastating uncertainties of nebulous and permissive standards of infringement under which courts could impose treble damages upon them for making parts, distinct, separable, minor parts, or even major parts of a combination patent, upon which parts no patent has been or legally could have been issued.⁷

Auto Care therefore urges the Copyright Office in its Study to develop these principles into clear guidance. To further assist the Office, we address below the specific issues in the Notice:

1. Whether copyright law should distinguish between software embedded in “everyday products” and other types of software, and, if so, how such a distinction might be drawn in an administrable manner.

a. Whether “everyday products” can be distinguished from other products that contain software, such as general purpose computers—essentially how to define “everyday products.”

b. If distinguishing between software embedded in “everyday products” and other types of software is impracticable, whether there are alternative ways the Office can distinguish between categories of software.

Response: The definition depends more on the function of the software than the nature of the product. A bright line distinction can be drawn for software that controls the physical operation

⁶ See *Aro Mfg Co., Inc. v. Convertible Top Replacement Co., Inc.*, 365 U.S. 336, 342-343 (1961) (replacement fabric convertible tops); *Dana Corp. v. American Precision Co.*, 827 F.2d 755 (Fed. Cir. 1987) (rebuilding automobile clutches using new parts and used parts from many disassembled worn clutches held permissible repair).

⁷ *Id.*, 365 U.S. at 358-359.

of a product.⁸ Typically, software in motor vehicles is found either in electronic control units (for larger systems such as the engine or transmission), or in discrete microprocessor units collocated with physical and electromechanical controls. Because such embedded software only controls the operation of a motor vehicle system or part, it is inseparable and indistinguishable from the systems and parts themselves.

2. The rationale and proper scope of copyright protection for software embedded in everyday products, including the extent to which copyright infringement is a concern with respect to such software.

Response: As an initial consideration, many elements of embedded software, and some embedded software routines in their entirety, may not be protectable by copyright. Because the software controls physical part operations and has to operate within a specific hardware and system environment, the expression in the software code will be highly constrained. For example, some routines are short implementations of mathematical equations and data upon which the operations are performed, and may not meet the bare requisites of originality and authorship.

Where such embedded software does meet the test for copyrightability, the scope of protection should be limited. To preserve the right to repair, maintain, and customize the function and performance of the physical products, businesses must be free to access, analyze, and alter the software for that product. Copyright therefore should not preclude the ability to engage in those activities for a particular product, regardless if it is necessary to reproduce or create a derivative work for that particular product. Similarly, copyright law should not preclude creation of a replacement software program that does not literally copy copyright-protectable code.

3. The need to enable interoperability with software-embedded devices, including specific examples of ways in which the law frustrates or enables such interoperability.

Response: Businesses have always had the right to sell motor vehicle parts that improve the performance of the original equipment. Historically, for example, consumers have “turbocharged” their vehicles, or updated vehicles with better engines, transmissions, safety features, and emission systems. Auto Care believes that such interoperability is lawful, and is not frustrated by copyright law when correctly applied. That said, investment in developing interoperable software and parts has been chilled by overreaching legal claims, in lawsuits as well as in the press, by original equipment vendors. And Auto Care expects, although companies will not make such information known either to the public or to Auto Care, that companies have withheld or canceled plans to introduce products and services to the public for fear of the

⁸ As an analogy, software that controls the rotation speed or the recording heads of a personal computer’s hard disk drive can readily be distinguished from the audio, audiovisual works, photographic, graphical, or software and other literary works recorded on the drive.

expense, disruption, and risk of copyright litigation that they believed to be unfounded.⁹ Clarity in the law, and greater availability of attorney fees to successful defendants in copyright cases, will therefore provide greater incentives for investment and innovation by independent manufacturers and services.

4. Whether current limitations on and exceptions to copyright protection adequately address issues concerning software embedded in everyday products, or whether amendments or clarifications would be useful. Specific areas of interest include:

a-c. The idea/expression dichotomy (codified in 17 U.S.C. §102(b)); merger doctrine; and scenes a faire doctrine

Response: Auto Care believes that these statutory and analytical doctrines have been properly applied in past cases to software used to control the operation of products. The cases cited by the Copyright Office Notice, particularly *Lexmark v. Static Control Components*, and *Computer Assoc. v. Altai*, have explained how these doctrines constrain the originality of software.¹⁰ Such software must conform to the computer language and system requirements of parts in the vehicle, must run on a specific hardware platform, and must meet size and programming requirements for storage and operation in the microprocessor. Typically, the code reflects little if any creativity. It merely uses mathematical equations designed to manipulate and operate physical equipment, in order to produce optimal performance specifications for the physical parts or systems. Thus, these doctrines remain highly pertinent to the evaluation of copyrightability of embedded software, and to the extent to which copying of elements (or all) of embedded software code is noninfringing.

⁹ Auto Care moreover notes that companies have little motivation to challenge overreaching claims of original equipment manufacturers, where the cost of litigating novel or difficult copyright principles could eclipse the successful defendant's potential profits from offering the products or services. See *Assessment Technologies of WI, LLC v. Wireddata*, 361 F.3d 434, 437 (7th Cir. 2004) ("When the prevailing party is the defendant, who by definition receives not a small award but no award, the presumption in favor of awarding fees is very strong"). Auto Care submits that the Copyright Office should take these considerations into account in connection with the position of the United States in *Kirtsaeng v. John Wiley & Sons, Inc.*, No. 15-375, on certiorari to the Supreme Court.

¹⁰ The Sixth Circuit in *Lexmark* also correctly determined that these doctrines should be applied to the analysis of embedded software as limits on copyrightability rather than as defenses to infringement. 387 F.3d at 535-536. Hardware and system constraints, and security and authentication measures applied by the OEM, compel code to be written in specific ways that permit the parts to function within the automotive system as a whole. While it may be appropriate to apply these doctrines to weigh noninfringement in cases based on substantial similarity, the doctrines are only pertinent to copyrightability of the original embedded software code where literal copying is necessary to enable operability and/or interoperability of parts.

d. Fair use (codified in 17 U.S.C. §107)

Response: Fair use remains a fundamental principle for independent businesses that make compatible replacement software or interoperable software enhancements, or that seek to repair motor vehicle parts using software. As in *Sega* and *Connectix*, competitors must have access to the software code to create compatible software for or to perform maintenance on replacement parts, and must make copies of the code and decompile it in order to offer competing products and services. Fair use also can assure that the scope of repair under patent law is not diminished by copyright law, and can fill gaps where the existing copyright statutory framework provides no explicit guidance. For example, just as a repair shop can take physical parts from one car to put them in another, fair use can protect transferring the copy of a program from one part to another; or can protect adjustment of software parameters or code to improve a part's performance, in the same way that repair shops adjust and customize the performance of physical parts.

e. The first-sale doctrine (codified in 17 U.S.C. §109)

Response: The first-sale doctrine as codified does not explicitly reflect the realities of the market for embedded software that controls the operation of motor vehicle parts. As suggested above, the Study should clarify that the owner of the physical object also owns the copy of any embedded software—such that a sale of a product or part should also be deemed to encompass a sale of the copy of software used to control the part or product's physical operation. As so clarified, the Study would eliminate legal uncertainty and reduce threats of unjustified litigation by assuring uniform application of the first sale doctrine to embedded software.

f. Statutory limitations on exclusive rights in computer programs (codified in 17 U.S.C. §117)

Response: Auto Care believes that, properly interpreted, the current limitations on copyright in the software maintenance provisions of Section 117 should adequately protect most repair and maintenance activities engaged in by independent services. Any additional maintenance activities can be addressed as a matter of fair use, to assure that the scope of lawful repair for products with embedded software is the same under copyright law as under patent law.

5. The state of contract law vis-a-vis software embedded in everyday products, and how contracts such as end user license agreements impact investment in and the dissemination and use of everyday products, including whether any legislative action in this area is needed.

Response: The Copyright Office Study should clarify that sale of a product or part whose operation is controlled by embedded software constitutes a sale of the copy of the embedded software. Comments submitted in the most recent Section 1201 triennial review by and on behalf of original motor vehicle equipment manufacturers suggest they compel consumers to accept “licenses” for embedded software in order to use the vehicle they already have purchased. Where

the software is integral to the physical operation of parts or systems of motor vehicles, manufacturers should be preempted from imposing copyright-based license restrictions on the right to use and repair products that the consumer owns. In many circumstances, these licenses could constitute copyright misuse, inasmuch as copyright protection is being used as leverage to stifle competition in markets for non-copyrightable goods and services. Thus, clarifying that the purchaser of the vehicle owns the copy of the embedded software will promote competition and consumer rights in a manner fully consistent with the promotion and purposes of copyright law.

6. Any additional relevant issues not raised above.

Response: As noted above, Auto Care is deeply concerned about the application of technological protection measures in vehicle systems, to stymie competition for parts and service rather than to protect copyrighted works. Auto Care separately will address these comments to the Copyright Office in the parallel Section 1201 study proceeding.

Auto Care wishes to bring to the attention of the Copyright Office another concern relating to the scope of exhaustion applicable to copyright. On February 12, 2016, the U.S. Court of Appeals for the Federal Circuit held *en banc* that a patent owner who made an authorized sale of a patented product could preclude patent exhaustion by means of a “single use only” legend. *Lexmark Int’l Inc. v. Impression Prods. Inc.*, No. 14-1617. The United States as amicus in that case took the opposite view: the authorized sale of the product exhausted the patentee’s rights against the repair and maintenance of the product, and any such contract-based restriction on the post-sale uses of the product were enforceable, if at all, under contract law and not under patent law. Auto Care urges the Copyright Office to continue to apply the principles reflected in the United States amicus under copyright law. Any contract-based restrictions on the post-sale use of embedded software cannot and should not be enforceable under copyright law.

Auto Care thanks the Copyright Office for conducting this Study. We look forward to continuing our participation in this proceeding. Should the Office have any questions, please feel free to contact us at your convenience.

Respectfully submitted,

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